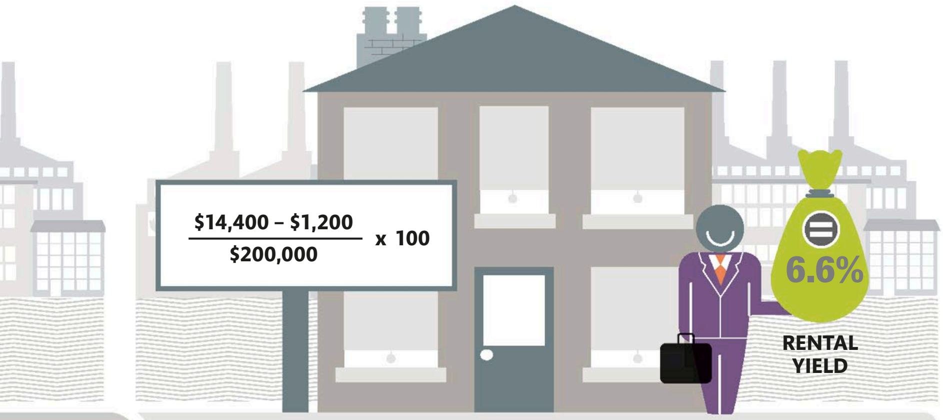
How it works

Buying property to rent has become a popular choice for investment in many parts of the world thanks to low interest rates on mortgages and comparatively high rents. However, landlords will need to spend money on a regular basis on mortgage interest, insurance, agency fees, maintenance, and repairs, and may also need to spend time managing the property. There is also the risk that the landlord can lose out financially if their property remains empty, or if tenants default on their rental payments or cause damage the property. Landlords base the success of their investment on the value of the regular rental yield it produces.

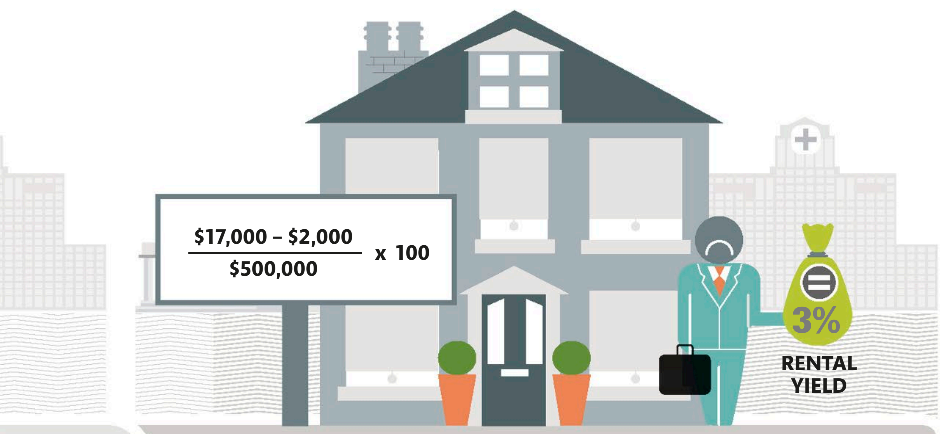
Property cost × 100 = Rental yield



After deducting expenses, the rental income as a percentage of the property cost—the yield—is high compared with the national average.

High rental yields can indicate:

- **The presence of large immigrant** or transient populations, who seek short-term housing while they take advantage of local opportunities, and are unwilling or unable to purchase property.
- **Rents are steady and property prices** have fallen—for example, in a booming town offering high wages, which attracts new residents who fuel local rental demand.



After deducting expenses, the rental income as a percentage of the property cost—the yield—is relatively low compared with the national average.

Low rental yields can indicate:

- **Rents are steady** and property prices have risen—for example, when low interest rates fuel a property bubble, driving up the cost of houses relative to rent and income.
- **Rental demand has fallen, so that rents** have risen more slowly than property prices—for example, in a city with low unemployment when interest rates are low, encouraging renters to buy.